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ALL EYES WERE on the Union Budget in July 2024, that came just six weeks after the General Elections. Voters, businesses, political parties, and those looking to invest in India—everyone wanted to assess what it would indicate about the NDA government's broad policy direction in its third term and what it would hold for each section of the country and economy.

And it certainly did not disappoint. Taking cues from the elections and ahead of polls in some states—such as in Maharashtra, Haryana, Jharkhand, Delhi and Bihar—the government took up issues close to the voters, the biggest being that of employment and skilling. Others include fresh avenues for funding and easier compliances for micro, small and medium enterprises (MSMEs), higher outlay for agriculture and schemes for rural development and housing that could have a multiplier effect. There was also some tax relief for the middle class.

The Budget also took care of the demands of the NDA's two key allies—the Telugu Desam Party (TDP) and the Janata Dal (United) or JD(U)—which together hold 28 seats in the Lok Sabha. Finance Minister Nirmala

Sitharaman announced generous outlays for schemes and financial support to both Andhra Pradesh, where the TDP is in power, and the JD(U)-ruled Bihar.

The Budget also quelled worries of economists and investors around the dynamics of a coalition government by retaining credible targets while underlining its continued commitment to fiscal consolidation. It has also affirmed the government's reforms agenda and clarified its strategy on disinvestment.

Analysts say the government has maintained its stance on abstaining from too many direct giveaways, while also announcing measures to allay the problems of common citizens. Rajani Sinha, Chief Economist at CareEdge Ratings, says the Budget has continued the government's policy stance despite expectations of a dilution in the position due to coalition politics. "There has been higher allocation to Bihar and Andhra Pradesh but the theme of fiscal consolidation and the focus on capex has continued. Apart from a few giveaways such as higher standard deduction and the direct benefit transfer (DBT) proposal for first-time employees, there are few proposals for direct measures to boost consumption," she says. The government has followed its past strategy of boosting consumption through indirect measures such as higher allocation for the Pradhan Mantri Awas Yojana (PMAY), she adds.

Aurodeep Nandi and Sonal Varma, economists at financial services firm Nomura, believe that the Budget provides interesting insights on how the government is rethinking its economic and political priorities after the elections. "We have identified six

THE BUDGET BLUEPRINT



Union Budget focusses on employment, skilling, MSMEs, and the middle class



Underlines commitment to fiscal consolidation, lowering debt to GDP ratio



Announces special schemes and assistance for Andhra Pradesh and Bihar



Pedal on capital expenditure, revenue spending also hiked



Disinvestment strategy to be maintained



But with just seven months of FY25 remaining, implementation will be a monitorable

